10. INCOME TAXES

Components of the income tax expense for the periods ended:

(Dollars in thousands)	Year Ended December 31, 2007	Year Ended December 31, 2006	May 11, 2005 to December 31, 2005
Current:			
Federal	$ 40	$ —	$ —
State and local	246	13	(185)
Total current	286	13	(185)
Deferred:			
Federal	2,553	28	3,955
State and local	921	189	912
Total deferred	3,474	217	4,867
Income tax expense	$ 3,760	$ 230	$ 4,682

Income tax provision differed from the amounts computed by applying the US Federal income tax rate of 34% to income before income taxes as a result of the following:

	Year Ended December 31, 2007	Year Ended December 31, 2006	May 11, 2005 to December 31, 2005
Expense (benefit) at federal statutory rate	$ 2,852	$ (86)	$ 4,252
State and local tax expense – net of federal benefit	731	134	480
Nondeductible expenses and other	177	182	(50)
Income tax expense	$ 3,760	$ 230	$ 4,682

The Company accounts for income taxes in accordance with SFAS No. 109, *Accounting for Income Taxes*, which requires an asset and liability approach to financial accounting and reporting for income taxes. Accordingly, deferred income taxes have been provided for the temporary differences between the financial reporting and the income tax basis of the Company's assets and liabilities by applying enacted statutory tax rates applicable to future years to the basis differences. Deferred tax assets (liabilities) consist of the following at December 31:

(Dollars in thousands)	2007	2006
Deferred tax asset:		
Federal net operating loss carryforwards and AMT credits	$ 6,628	$ 6,877
State loss carryforwards and other benefits	1,469	1,654
Inventory reserves	574	1,048
Warranty reserves	1,167	678
Accrued expenses	1,740	1,369
Valuation allowance	(1,555)	(1,496)
Total	10,023	10,130
Deferred tax liabilities:		
Intangibles- net	(36,172)	(33,903)
Prepaid assets	(353)	(310)
Property, plant and equipment	(10,602)	(10,440)
Total	(47,127)	(44,653)
Net deferred tax liability	$ (37,104)	$ (34,523)

At December 31, 2007, the Company has approximately $19,778,000 of net operating loss carryfowards for federal income tax purposes which expire between the years 2021 to 2027 and approximately $18,600,000 of net operating loss carryfowards for state tax purposes which expire in varying amounts through 2027. The valuation allowance for deferred tax assets of $1,555,000 and $1,496,000 at December 31, 2007 and December 31, 2006, respectively, relates principally to the uncertainty of the utilization of certain deferred tax assets, primarily the state tax loss carryforwards of certain subsidiaries. The valuation allowance reflects management’s analysis indicating it is “more likely than not” that such deferred tax assets will not be realized. Management has determined that it is more likely than not that the Company will generate sufficient taxable income in the future to realize the benefit related to its federal net operating loss carryfowards.

On January 1, 2007, the Company adopted the provisions of FIN 48, and as a result of that adoption, the Company recorded unrecognized tax benefits of $800,000 on the balance sheet, which did not result in a cumulative effect adjustment to retained earnings as the adjustment was recorded to goodwill based on the nature of the position involved. A reconciliation of the beginning and ending balances for liabilities associated with unrecognized tax benefits is as follows:

(Dollars in thousands)

Balance at January 1, 2007	$	800
Unrecognized tax benefits related to prior years		–
Unrecognized tax benefits related to the current year settlements		–
Reductions in unrecognized tax benefits due to the lapse of applicable statute of limitations		–
Balance at December 31, 2007	$	800

Of the total unrecognized tax benefits, $664,000 is carried at December 31, 2007 as a non-current liability, and $136,000 as an offset to non-current deferred tax assets. None of the unrecognized tax benefits would have an impact on the Company's effective tax rate if realized (or remeasured) prior to the adoption of SFAS 141(R), however realization (or remeasurement) would have an impact on the Company's effective tax rate if such occurred after the adoption of SFAS 141(R). Prior to the adoption of SFAS 141(R), an increase to the FIN 48 reserve is recorded as an increase to goodwill, and any decrease in the FIN 48 liability would decrease goodwill. Subsequent to the adoption of SFAS 141(R) (effective for the Company with its year beginning January 1, 2009) the above rule will no longer apply and any expense or benefit associated with the realization (or remeasurement) of the unrecognized tax benefit will be recorded as part of income tax expense.

When applicable, the Company's practice is to recognize interest and/or penalties related to income tax matters in income tax expense. No interest or penalty was included in income tax expense for the year 2007. As of December 31, 2007 and January 1, 2007, there was no accrual for interest or penalties recorded on the consolidated balance sheet.

The Company and its subsidiaries file income tax returns in the U.S. federal jurisdiction. Generally, the Company and its subsidiaries' federal income tax returns for tax years 2004 and beyond are open tax years subject to examination by the Internal Revenue Service (IRS). The IRS recently concluded the examination of a subsidiary's tax return for a short taxable year ending May 2005. The IRS recently commenced an examination of another subsidiary's tax return for the year 2004. It is not anticipated that the unrecognized tax benefits for tax positions taken regarding previously filed returns will change significantly over the next twelve months. The Company and its subsidiaries also file income tax returns in various state jurisdictions, as appropriate, with varying statutes of limitation. There are no state income tax examinations in process at this time.